

TN.1 Owner-Builder Exemption Walkthrough

What Tennessee lets you do yourself — and the moment you become a prime contractor without anyone telling you.

Before you use this document

This is a process reference, not legal advice. Tennessee adopts one state residential code and then gives your jurisdiction three different ways to answer for it: run its own building department, let the State Fire Marshal enforce the state code through contract inspectors, or opt out entirely so that no residential building code is enforced at all. The unit is the **jurisdiction**, not the county — a city inside an opted-out county routinely has a different status from the county around it. What does not depend on any of that: the state electrical permit, the subsurface sewage disposal permit, and contractor licensing. Confirm every item with the office that will actually handle your parcel before you rely on it. Tennessee's official code sits behind a subscription viewer, so the statutory sentences quoted here were read from published Tennessee appellate opinions that quote them verbatim, and every number was confirmed against the agencies' own 2024-2026 rules and guidance. Cite the section, quote the sentence, and check subdivision numbering before you rely on a pinpoint.

THE SHORT VERSION

Tennessee licenses contractors at **\$25,000** and then exempts you, in one sentence, for the house you are building for yourself. The exemption is real and it is not stingy — there is no dollar cap on your own home.

What catches people is not the exemption. It is **what your exemption does to everybody you hire**. The moment you act as your own general contractor, every trade is contracting *directly with the owner* — and Tennessee calls that a **prime contractor**.

The Tennessee position at a glance

Question	Tennessee's answer
Do you need a license to build your own house?	No. A person who owns property and constructs a single residence on it "for individual use, and not for resale, lease, rent or other similar purpose" is exempt (Tenn. Code Ann. § 62-6-103)
Is there a dollar limit on the exemption?	None. The \$25,000 threshold is what makes someone a <i>contractor</i> . Your own home is exempt at any value
Is there a frequency limit?	Yes — two years, and it bites twice. The statute creates a rebuttable presumption of intent to resell; the state permit rule makes it a hard bar. See the next section but one
Must you intend to live in it?	Yes. The state permit rule defines a property owner's permit as one for a dwelling "in which the owner intends to live upon completion" (rule 0780-02-23-.01(i))

The Tennessee position at a glance

Question	Tennessee's answer
Does the exemption cover hiring subs?	Yes — you may act as your own general contractor. But it is <i>your</i> exemption. It does not travel to anyone you hire
So what changes for the people you hire?	Everything. They bid directly to you, which makes each of them a prime contractor — and a prime needs a license at \$25,000 , whatever the trade
Is there a form to sign?	No <i>Board</i> form exists. The affidavit is built into the building permit application, and you sign it there
Can you do your own electrical and plumbing?	Electrical yes, on a homeowner permit — one per twelve months. Plumbing yes, per the state's own exemption list. Mechanical is genuinely unclear; see the trades section

Contractors are licensed by the Board for Licensing Contractors within the Department of Commerce and Insurance. Its rules are chapter 0680-01, revised 18 November 2025. The residential building permit rules are the State Fire Marshal's chapter 0780-02-23, revised 25 February 2024.

FIRST — FIND OUT WHICH TENNESSEE YOU ARE BUILDING IN

Before any of the rest of this matters, settle one thing: **who, if anyone, enforces a residential building code on your parcel.** Unlike most states, Tennessee publishes the answer for every jurisdiction.

The five-minute lookup

- 1. Open the State Fire Marshal's jurisdictions table** at tn.gov/commerce/fire/residential-permits/jurisdictions-inspectors.html. It lists all 95 counties and 378 municipalities and carries its own currency date.
- 2. Look up your CITY first.** If your parcel is inside any city limits, that city's row governs — not the county's. A county's opt-out reaches only the unincorporated area.
- 3. Read the status.** **EXEMPT** means the local government runs its own building department and its own code. **SRBP** means the state enforces and you buy the permit at core.tn.gov. **OPT OUT** means no residential building code is enforced there at all.
- 4. Do not assume it is permanent.** An opt-out resolution expires 180 days after that legislative body's next election unless the new body passes it again. Check the list again before you file, not just before you buy the land.
- 5. Get it in writing and date it.** Email is fine. Write it on the directory page in TN.4. In three years, when an appraiser asks why there is no permit on file, that email is your answer.

*When this kit was assembled the table read "accurate as of 8/21/2026" and broke down as **50 counties EXEMPT, 37 OPT OUT and 8 SRBP.** One warning: the State Fire Marshal publishes the state-enforced county list in two places and in September 2026 they disagreed — the dated jurisdictions table listed eight counties, the apply-for-a-permit page listed seven and omitted Campbell County. TN.4 sets out both. If the two*

disagree when you read them, ask the office rather than picking one.

THE EXEMPTION, IN FULL

Tenn. Code Ann. § 62-6-103 — the owner exemption

"[N]otwithstanding subdivision (a)(1), **any person, firm or church that owns property and constructs on the property single residences, farm buildings or other buildings for individual use, and not for resale, lease, rent or other similar purpose, is exempt from the requirements of this part.**"

The Board's own rule adds the definition that decides arguments: "Any person, business or church that owns property and constructs single residences or buildings for their individual use shall not need a contractor's license. **Individual use shall mean use by persons other than the general public.**" (rule 0680-01-.22)

And a second rule closes the obvious loophole: "This exemption **does not apply to construction pertaining to resale, lease, rent or other similar purpose.** The exemption does not apply to persons constructing buildings for a business-type purpose that cater to and depend upon usage by members of the general public." (rule 0680-01-.26)

Board rules read from the Secretary of State's official chapter 0680-01, revision of 18 November 2025, at publications.tnsosfiles.com. The statutory sentence is quoted verbatim in published Tennessee appellate decisions and is restated in materially identical terms by the State Fire Marshal's current guidance.

THE TWO-YEAR RULE IS ACTUALLY TWO DIFFERENT RULES

Nearly every guide tells you Tennessee allows "one house every two years." That is true at the permit counter and **not quite true in the statute** — and the difference decides what happens if you build two.

Same two years, two different mechanisms

Where	What it says	What it means for you
In the statute § 62-6-103	A rebuttable presumption . There is a "rebuttable presumption that the person or firm intends to construct for the purpose of resale, lease, rent or any other similar purpose if more than one (1) application is made for a permit to construct a single residence or if more than one (1) single residence is constructed within a period of two (2) years "	You are not barred. The burden shifts to you to prove individual use — which means you are arguing it, possibly in court. Note it can be triggered by applications , not just finished houses

Same two years, two different mechanisms

Where	What it says	What it means for you
At the permit counter rule 0780-02-23-.05(3)	A hard bar . "Pursuant to T.C.A. § 62-6-103, an individual may obtain only one (1) property owner's permit within a twenty-four (24) month period. "	No presumption, no argument. In a state-enforced jurisdiction the system will simply not issue you a second one

The permit rule is the **state** program's. In an EXEMPT jurisdiction the local government's own homeowner-permit rules apply and they differ — ask yours. The statutory presumption applies everywhere, whoever issues the permit.

Changing your mind mid-build is the version nobody warns you about

The exemption turns on what the house is *for*, and Tennessee courts have measured that continuously rather than at the start. A contractor is unlicensed for these purposes if they do not hold a valid license **throughout the entire time contracting services are performed**. Applied to an owner-builder who decides part-way through to sell, the Court of Appeals has observed that at least as to the period after the owner knew he was going to sell, he was acting in violation of the licensing law.

So the decision to sell is not a decision you get to make at the end. If your plans genuinely change, stop and take advice before you list it — and note that the state permit rule requires a **new permit** the moment you stop acting as the owner-builder and hire a contractor to finish.

THE TRAP — YOUR EXEMPTION MAKES EVERYONE ELSE A PRIME

This is the most valuable page in this document, and it is the thing Tennessee owner-builders most often get wrong. It follows from two definitions that are three sentences apart.

- A **prime contractor** is "one who contracts **directly with the owner**" (Tenn. Code Ann. § 62-6-102).
- A **contractor** needs a license for any undertaking "for which the total cost is twenty-five thousand dollars (\$25,000) or more" — and the definition reaches anyone who "undertakes to, attempts to or **submits a price or bid or offers to**" do the work (Tenn. Code Ann. § 62-6-102).

Under a licensed general contractor, a framing or excavation sub is bidding to the *contractor*, and most trades need no state license at all. **When you are the general contractor, every one of them is bidding to the owner.** The Department of Commerce and Insurance says it in one line in its own licensing booklet:

From the state's own contractor licensing booklet

"Subcontractors: A contractor's license is NOT required for all subcontractors, those bidding directly to a contractor and not the owner, for projects such as: painting, excavation, landscaping, etc., unless, the subcontractors are performing mechanical, plumbing, HVAC, electrical or roofing over \$25,000; and masonry if over \$100,000...
Note: Bidding to a homeowner acting as their own GC makes you a "Prime"."

The practical rule that falls out of it: any single trade contract on your job worth \$25,000 or more needs a licensed contractor — including trades that would need no license under a professional builder. And the license must be held **before they bid**, not before they start: the Board's unlawful-bidding rule says an unlicensed bidder "shall [not] be awarded any contract for the project... or [be] permitted to participate in any re-bidding of the project" (rule 0680-01-.18).

When the person you hire needs a state license

Trade	Threshold	Why
Electrical, plumbing, mechanical / HVAC, roofing	\$25,000 or more	Named as "contractors" in the statute itself
Masonry	\$100,000 or more	Materials and labor, per Board rule 0680-01-.24(1)
Any other trade bidding to you — framing, concrete, excavation, drywall, painting	\$25,000 or more	Because they are contracting directly with the owner, which makes them a prime

*The cost is measured all-in. Board rule 0680-01-.13(8): no contractor may engage or offer to engage in any project "of which the cost (**including all material and labor furnished by or through another source other than the owner**) would exceed the monetary limitation placed on his license." **And you cannot borrow someone else's license:** rule 0680-01-.27(3) makes it misconduct for a licensed contractor to pull a permit "for a job in which an unlicensed contractor is acting as the general contractor."*

One piece of good news, and it is a real protection

Contracting without a license is a Class A misdemeanor in Tennessee (Tenn. Code Ann. § 62-6-120). But the penalty provision carries an express carve-out for you: the penalties "**shall not apply to a person who engages a contractor without a license for the purpose of constructing a residence for the use of that person.**"

So an owner who unwittingly hires an unlicensed builder for their own home is not the one committing the offense. **The unlicensed contractor still is** — and you are still the one with an unlicensed contractor on your house, no meaningful recourse, and a builder whose recovery against you is capped at "actual documented expenses." Verify the license anyway.

WHAT YOU MAY DO WITH YOUR OWN HANDS

Three trades, three different levels of certainty

Trade	May you do it yourself?	The condition that matters
Electrical	Yes , on a residential property owner's electrical permit . "Any person may perform electrical work (for which an inspection is required) upon his/her own residence provided he/she first applies for and obtains" one	Only one per 12 months — a different clock from the 24-month building permit. Extends to you and immediate family only , and "shall not authorize assistance by any other person not duly licensed"
Plumbing (incl. gas piping)	Yes . The state's Limited Licensed Plumber application lists " Homeowner may perform plumbing on their own residence " among the exemptions under § 62-6-406	This is a <i>state</i> exemption. A city or county may still require a licensed plumber to pull the permit — the state's own guidance says the trade license is "NOT exempt from local licensing, permit and inspection requirements"
Mechanical / HVAC	Genuinely unclear, and we are not going to pretend otherwise . No homeowner exemption text for mechanical work was found, and Tennessee appears to issue no below-\$25,000 HVAC credential at all	What <i>is</i> certain: HVAC at \$25,000+ needs a licensed mechanical contractor; the electrical portion falls under the electrical rules and the gas piping under the plumbing rules. Ask your codes office and write the answer down

*Electrical quoted from rule 0780-02-01-.05(2)(a), revised 14 July 2025. Plumbing from the Department of Commerce and Insurance's own Limited Licensed Plumber application. **On mechanical we are reporting a genuine gap rather than filling it:** the Board licenses contractors, Limited Licensed Electricians and Limited Licensed Plumbers, and nothing else — which implies HVAC under \$25,000 needs no state license, but no rule says so affirmatively and no homeowner exemption for mechanical work exists in the text. A guide that gives you a confident answer here is guessing.*

VERIFYING A SUB — FOUR FIELDS, AND A NUMBER THAT TELLS YOU MORE THAN IT LOOKS

The Board tells you exactly what to check, because it is what a subcontractor is legally obliged to hand over: "It is the subcontractor's responsibility to furnish evidence to the prime contractor of an active license with the appropriate **name, classification, monetary limit, and expiration date**, regardless of how the bid is transmitted" (rule 0680-01-.24(1)). You are the prime. That evidence is owed to you.

What to check, at verify.tn.gov

Field	What it tells you
Name	Must be the exact name they are licensed under. Rule 0680-01-.25(1): "Contracting in a name different than that in which an individual or entity is licensed by this Board is considered a violation." A license in a company name and an invoice in a personal name is a real problem, not a formality

What to check, at verify.tn.gov

Field	What it tells you
Classification	BC-A is residential building construction, up to four units and three stories. BC-A/r is Limited Residential, capped at \$125,000. CE is electrical, CMC mechanical (which covers HVAC, refrigeration and gas piping)
Monetary limit	Read this one carefully — see below. Limits from different classifications may not be combined to bid a project, and only a 10% tolerance is allowed (none at all for BC-A/r)
Expiration date	The license must be valid throughout the work, not merely on the day it was signed

The monetary limit is a free credit check, and almost nobody uses it

Tennessee sets a contractor's monetary limit at **the lesser of ten times net worth or ten times working capital** (rule 0680-01-.13(1)). Read that backwards: a builder carrying a **\$150,000** limit has a Board-reviewed file showing roughly **\$15,000** of net worth or working capital. That is the single most useful financial fact you can obtain about a builder, for nothing, in about a minute.

One caveat that weakens the inference for newer licenses. From 1 July 2026 the Board allows a surety bond of at least 50% of the requested monetary limit as an alternative to a CPA-reviewed or audited financial statement. So a recent license may be bond-backed rather than balance-sheet-backed. Ask which.

And check the insurance separately. The Board's own floor for general liability is only **\$100,000** for any contractor with a monetary limit up to \$500,000 (rule 0680-06-.02(1)). That is nowhere near enough cover for a custom home. Ask for a certificate showing more.

Verification is at **verify.tn.gov**, which is the Department's public license search. **It is not the same system as core.tn.gov**, which is where permits are bought — the two are widely confused. The Board also publishes a separate tool to verify a Qualifying Agent, which matters because the license belongs to the business while the person who passed the examination is the qualifying agent.

WORKERS' COMPENSATION — WHERE OWNER-BUILDERS GET HURT

Tennessee treats construction differently from every other industry. Most businesses need workers' compensation cover at five employees. **In construction it starts at one**, and the Bureau of Workers' Compensation says so plainly: businesses in the construction industry "are required to have workers' compensation coverage for everyone including the business owners. Other businesses need insurance if there are five or more employees."

Tennessee also runs a public **Exemption Registry** where a genuine construction business owner can register an exemption for themselves. For an owner-builder that registry is a **verification tool, not a shield**:

- A one-person trade contractor who tells you they are exempt **should be on it**, and it is publicly searchable. If they are not listed, the claim is empty.

- The registry exempts **the owner of the business only**. In the Bureau's own words: "Exempt owners are still required to have insurance coverage for all of their employees, **even if they have only one employee.**"
- A registry filing can be **disregarded** where the person is not really a business owner. Tennessee's workers' compensation court has rejected an exemption where "the only 'assets' of any purported business are [the worker's] tools, likely of minimal value and customarily in all construction workers' possession," holding the filing was an attempt to avoid the Act. That is precisely the person an owner-builder hires.

The honest position on whether you become the employer

Tennessee courts have held that **an owner does not become a "contractor" merely by assuming general-contractor responsibilities** on their own build, and the licensing definition reaches only work done "for a fixed price, fee, commission, or gain of whatever nature" — which cuts against treating an owner-builder as a statutory employer. **But no Tennessee decision squarely resolves it**, and the closest case on the facts — an uninsured owner-builder whose hired job-runner's worker fell — was fought for years on other grounds and still left the owner carrying a share of the fault.

So: collect a certificate of workers' compensation insurance from every trade, naming you as certificate holder — or a Registry exemption printout plus written confirmation that they have no employees and will bring none on site. Then check the Registry yourself. This is the cheapest risk you will ever retire on a build.

THE LIEN SHIELD YOU GIVE UP BY BEING YOUR OWN GC

Tennessee protects homeowners from subcontractor liens unusually well — and the protection is written so that **becoming your own general contractor switches it off**. Both halves are in the same section.

Tenn. Code Ann. § 66-11-146 — the same section, both ways

Your role	Who can lien your house
If you hire a prime contractor	On contracts to improve owner-occupied residential property, "a lien or right of lien upon such property shall exist only in favor of a prime contractor. " Your builder's unpaid subs and suppliers cannot lien your home
If you ARE the prime contractor	"When the owner of residential real property and the prime contractor are one and the same person... a lien or right of lien upon such property shall exist only in favor of the prime contractor and remote contractors in contractual privity with the prime contractor. " Your own trades and suppliers can lien

The escape hatch is payment, and it is absolute: "No lien in favor of the remote contractor shall exist on such real property **from and after the date the prime contractor pays the remote contractor** for work or labor performed or materials, services, equipment,

or machinery furnished by that remote contractor." Pay a trade in full and their lien right on your home is extinguished. **Get a lien waiver at every payment and keep them together.** One layer of protection does survive: someone your trade hires is not in privity with you, and the section gives them no lien.

The Notice of Completion — a ten-day clock you control

Recording a **Notice of Completion** with the register of deeds when the house is finished cuts every unrecorded claimant's window to **ten days** on a one- to four-family residence, against thirty for everything else (Tenn. Code Ann. § 66-11-143). It is one of the few levers an owner holds rather than waits on.

Two conditions. Record it *after* completion — "[a]ny notice of completion recorded as herein provided **before** the completion of the improvement or the demolition is void and of no effect whatsoever." And serve a copy as the section requires; the duty to serve the prime contractor falls away where you are the prime.

*Lien text quoted from the 2007 Public Chapter that rewrote the chapter, read at publications.tnsosfiles.com, and the section architecture is confirmed as live by a 2024 Court of Appeals decision citing the 2022 code. **We have deliberately not printed anything about the Notice of Nonpayment.** As enacted, that section excludes one- to four-family residential — the opposite of what many secondary sources say — and we could not resolve the conflict. Ask a Tennessee construction lawyer rather than trusting either version.*

QUALIFICATION CHECKLIST — WORK THIS WITH A PEN

Confirm each of these before you break ground

	Item	Date	Notes
☐	I looked up my jurisdiction's status on the State Fire Marshal's table — my CITY first, then the county. Status and date read: Status _____ Date _____		
☐	I am the record owner of the parcel, and I intend to live in this house when it is finished.		
☐	I am not building it for resale, lease or rent — and I understand that changing my mind mid-build does not preserve the exemption for the part already built.		
☐	I have not applied for or been issued another owner-builder permit within the past 24 months, and will not apply for a second within this two-year window.		

Confirm each of these before you break ground

	Item	Date	Notes
☐	I understand that every trade bidding to me is a PRIME contractor, and I have identified which contracts will reach \$25,000 (\$100,000 for masonry). Those trades are: Trades _____		
☐	For every one of those, I checked name, classification, monetary limit and expiration date at verify.tn.gov — and confirmed no bid exceeds that limit, which cannot be combined across classifications. Date checked: Date _____		
☐	I collected a workers' compensation certificate naming me as certificate holder, OR a Registry exemption printout plus written confirmation of no employees, from every trade. Outstanding: Still needed from _____		
☐	I asked my codes office whether I may perform my own mechanical and HVAC work, because the state rules do not answer it. Answer: Answer _____ Who told me _____		
☐	If I am doing my own wiring, I have applied for a residential property owner's electrical permit — and I know it is one per 12 months, covers only me and immediate family, and allows no unlicensed helpers.		
☐	I am collecting a signed lien waiver at every payment to every trade, because as my own prime contractor my trades can lien this house.		
☐	I know where my register of deeds is, and I will record a Notice of Completion after — never before — completion. Office: Register of deeds _____		

The rules are the part you actually need, and they are free. publications.tnsosfiles.com hosts them as dated PDFs — **0780-02-23** residential, **0780-02-01** electrical, **0400-48-01** septic — and the filename carries the effective date, so you can always tell whether yours is current. Statutes are published under contract by LexisNexis at lexisnexis.com/hottopics/tncode. **One warning:** building and electrical rest on separate authority — Title 68, Chapter 120 and Title 68, Chapter 102. Conflating them is why so many guides wrongly imply that opting out of the building code ends your permit obligations. It does not. Read September 2026.